



Tax-free No More, Yet...

The UAE is set to introduce corporate tax to comply with the OECD's Inclusive Framework, to which it is a signatory. But that doesn't blunt its competitiveness

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30 | THE UAE HAS globally been recognised as one of the few surviving large and growing economies, which continues to be free of income tax. It holds a special place for Indians. Several high net-worth individuals have migrated to the UAE in the recent past and several Indian businesses have set up holding or intermediate trading companies in the Gulf nation. The multiple free zones that enabled setting up of Free Zone Enterprises (FZEs) and the ease of doing business have added to the lustre of the UAE. It was not surprising, therefore, that when the UAE introduced a scheme for Golden visas, a large number of Indians applied.

The UAE introduced a value-added tax (VAT) in January 2018, in what was a totally tax-free environment till then. The rate of tax was a modest 5 per cent but with its introduction, businesses had to collect the tax from consumers and pay it to the tax authorities. The tax authorities then had

the ability to call for and verify the accounts to examine the adequacy of taxes collected. VAT, however, is a pass-through tax and did not impact the profits of an enterprise. It did impose a compliance burden and suddenly businesses were worried that if the taxes were not appropriately collected or paid, they could be subjected to penalties as high as three times the tax.

In 2021, the OECD came out with its Two-Pillar approach, which this column had dealt with earlier. When the OECD came out with an Inclusive Framework, 141 countries signed up, including the UAE. One of the requirements of the Inclusive Framework was the levy of a minimum 15 per cent corporate tax on the profits of enterprises. In January 2022, the UAE took the first step by releasing FAQs. A public consultation document was released in end-April, which provided the overall framework for the introduction of corporate tax. This set in motion the transition of the UAE from a tax-free

regime to one that would conform to the global norms of taxation.

Clearly, this has significant impact on businesses, which will need to ensure that they prepare accounts in accordance with acceptable standards, have them audited, and pay appropriate tax on taxable income.

The proposals basically provide that all entities (corporate or otherwise) that carry on business would need to pay taxes in respect of accounting years commencing after June 1, 2023, at the rate of 9 per cent. If a business has a turnover exceeding €750 million and operates in other countries, it will need to pay taxes at a separate rate, which is to be prescribed. This rate is expected to be 15 per cent, to conform to the OECD's recommendations.

As it happens, whenever a new tax is proposed to be levied, there is apprehension that it will make the destination less competitive. However, there is a clear recognition that the introduction of corporate tax in the UAE will provide legitimacy to the businesses operating there, that the Gulf nation will become a part of an overall global framework, and that the introduction of taxes does not blunt its competitive edge.

What stands out from the consultation document is that apart from the taxes being relatively modest at 9 per cent/15 per cent, the tax framework is relatively simple. The accounting prof-

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